

Apple Inc. incidents and their implications

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1. Executive summary

This report analyses recent Apple Inc. incidents. First incident discussed is the explosion in the Foxconn factory in China, where the company's products are made. This incident led to global focus on labour conditions in China and raised a discussion of foreign firms exploiting Chinese workers. Despite that, Apple managed to successfully mitigate this incident and even benefited from it by weakening its competitors. This was possible because Apple mandated an investigation, led by Fair Labour Association (FLA) to raise awareness and by the fact that Foxconn produces electronics to most of the major competitors of Apple. This resulted in working conditions improvement which leads to increased production costs. As Apple has higher profit margins, this did not have such a big effect on the company, compared to its competitors.

Second scandal discussed is "patent wars". Although Apple tried to gain from it as well, it did not work that well. Apple had lost some trials and could not successfully modify its marketing mix by introducing its new product iPad mini to a new market of cheaper tablets. This had a significant negative effect on consumer behaviour and divided current and potential customers into two groups: people opposing Apple and favouring it.

Later 3 main future recommendations for Apple Inc. are made:

- If robotization in Foxconn factories is successful, build such factories in US in order to improve company's supply chain
- Stop "patent wars" in order to drive innovation by higher competition, which would benefit consumers and company itself
- Stop trying to go into cheap electronics sector and build prestigious company brand in order to maintain high profit margins and satisfy customers

These recommendations would result in a better marketing mix and would have a positive effect on consumer behaviour.

2. Introduction

Apple is referred to as the world's most valuable company, based on market capitalization (523.08 billion \$) (YCharts (2012)). However, recently Apple share price and market capitalization has been tumbling down, because of various reasons, such as problems with supply chain constraints, executives shake up, patent wars, competition in tablet market and even cannibalization by iPad mini (S.Fiegerman (2012a)). Moreover, this is a very controversial company as it seems that the whole world is divided into two parts: "Apple lovers" and "Apple haters". This report aims to review previous scandals closely related to Apple Inc. and see what impact it had on the company's brand name and its marketing mix. Moreover, effects of that on consumer behaviour will be discussed.

3. Foxconn scandal

One of the most famous scandals is associated with Foxconn Company in China, which manufactures Apple's products. It is important to note and understand that China is the second biggest market for Apple products (Bloomberg (2011)). This means that Apple Inc. reputation in China is no less important than in other markets such as the US or Europe. Moreover, Foxconn is one of the key players in Apple's supply chain as it is the largest privately owned manufacturer, producing more than 40% of the world's electronics (NYTimes (2012)). Scandal started after news spread that 3 workers have died when dust from polishing iPads has ignited (B.Blanchard (2012)). That led to extensive research of this company's factories and its relationship to Apple.

3.1 Impact on brand and consumer behaviour

This incident had significant impact on company as it led to closure of Chengdu plant in China as government started investigation to find causes of explosion (FLA (2012a)). This had effect on **Product** factor of marketing mix as Apple had to find other factory to produce product or increase capacity of still working ones. However, it is really

hard to assess true impact of this on product and its quality. **Price** was most likely affected as well because of increase in production costs (Forbes (2012)). This increase in production costs was caused by company's further actions to minimise negative effect of this incident. **Promotion** was definitely affected as there was a lot of negative press about Apple not only in China but in the whole world. This had negative impact on sales and brand image. However, it is complicated to assess it quantitatively as these manufacturers were making not only iPads but iPhones and other Apple components. **Place** was affected as well, as it had direct effect on channels of distribution as one of the factories had to be closed. On overall this was one of the first scandals in technology that highlighted exploitation of Chinese workers by foreign firms (B.Blanchard (2012)). It is clear that this scandal was so powerful that it had an effect not only on Apple Inc. but the whole technology industry as it raised a lot of awareness and concerns about working conditions in these factories. This is mainly because Foxconn is huge company manufacturing roughly 40% of world electronics (NYTimes (2012)). This had an impact on consumer behaviour. Now Apple was perceived as exploiter and thus their products was not as attractive as before. This can be compared to not very significant scandal where SIRI would give prostitute advice to users (Xinhua (2012)). Despite the fact that it is not as serious as the Foxconn scandal this prompted millions of comments from users, becoming a hot topic on Sina Weibo, the Chinese version of Twitter, again questioning Apple's morality (BBC (2012a)).

3.2 Apple's response

As dealing with prostitute scandal was easy, Apple just had to re-programme SIRI, dealing with Foxconn was not as simple. Despite that, Apple completely turned around this incident to its advantage. As mentioned before, Apple has sanctioned the Fair Labor Association (FLA) to carry out an extensive research of work conditions in Foxconn plants (B.Blanchard (2012)). FLA investigated 3 main factories of Foxconn where Apple products are made, with a total workers count of 178,077 and by surveying more than 35,000 workers (FLA (2012b)). This resulted in important and controversial findings:

- Average working hours per week exceeded Chinese legal and FLA Code standard limits during peak production
- Health and safety concerns, especially about aluminium dust in factories (which was cause of explosion in Chengdu plant)
- Worker integration was weak and workers was not aware of representatives of workers
- Compensation and social security insurance concerns mainly caused by lack of consensus between Chinese regulations in different regions

FLA has proposed remedial actions meaning that it will influence **Price** factor, production costs will increase as more investment on new workers recruiting, conditions improvement will have to be made. Moreover, in recent news it was pointed out that Foxconn began deploying robots into their factories to replace workers (A.Strange (2012)). Even more investment will be spent and this would lead to further increase in costs. It might look that for Apple Inc. this would be a huge loss, however, we have to take into account that Foxconn is related to other electronics firms, as mentioned before producing more than 40% of the whole world's electronics. This meant that such attention on its factories will influence not only Apple's production costs, but other companies as well. To understand how it is an advantage for Apple we have to take a look at profit margins of various companies in table below:

Company	Gross Margin	Operating Margin	Net Margin
Apple	42%	31%	24%
Hewlett Packard	26%	7%	5.6%
Dell	24%	6.8%	5.6%
Nokia*	30%	4.5%	4.4%
Amazon.com	24%	2%	1.3%

*Margins for Nokia used prior fiscal year results, since the company posted a current year loss

Table 1 (source: G.Wang (2012))

From Table 1 it is clear that Apple has the highest profit margins in the whole industry, it means that the company has more space for increased production costs, relatively it would have a smaller effect than on competitors. Moreover, Apple looked like a “good guy” in this scandal as it has sanctioned the FLA investigation. This would have a positive effect on **Promotion** as it would raise awareness about the company and build a positive brand image. **Place** factor would benefit as well as it would improve its channels of distribution, especially supply chain as Foxconn factory is very important to the company. Although it is clear that it still has capacity problems manufacturing enough iPhones for the US, (S.Fiegerman (2012b)). **Product** will have a positive effect as improvement of work conditions and production automation most likely will improve quality of product. Thus it can be concluded that Apple’s reaction to this scandal had a positive effect on 3 out of 4 parts of Marketing Mix, additionally it has weakened Apple’s competitors. Apple sales data complies with such conclusion:



Figure 1 (source: <http://barefigur.es/>)

Figure 1 shows that sales have significantly increased during the first quarter of 2012. It is hard to assess how Apple’s actions influenced consumer behaviour. We should consider two different perspectives of this: China and US customers. China’s customers might not be very happy with the fact that robotized factories will employ less people and having in mind that most companies relied on China’s cheap manual labour, we should question whether in future it is worth having factories in China if you can have them in the USA. This will have some serious implications on the supply chain for Apple as it would be much better to have factories locally. From the US perspective, it is clear that it would lead to even higher brand loyalty, as products would be better quality and moved factories from China to the US would result in all-American products, which is important for some consumers. In conclusion, Apple will have to carefully consider any future changes in order to assess its effect on two most important markets, US and China.

4. Apple patent wars

Another recent and very rampant scandal is Apple’s “patent wars”. In 1996 Steve Jobs admitted: 'We've always been shameless about stealing great ideas'(Huffington Post (2011)), but recently Apple Inc. started a long and tedious process of trials, defending its patents. The fact that Apple has started trials in many countries and with many companies, means that it had a global effect on customers. Recent trial was against Samsung about their Galaxy tabs.

Although this scandal has conflicting rulings, it had some serious implications about consumer behaviour and Apple's marketing mix.

4.1 Impact on brand and consumer behaviour

It is important to note that even before this scandal, the world was already divided into two groups: "Apple haters" and "Apple lovers". Sequence of trials has even deepened this separation. Some may argue that by protecting their patents Apple has protected its **Product**, by ensuring it is not copied. However, it is very hard to assess whether it was copied at all as it resulted in different rulings:

- Apple's victory in US, resulting 1bn \$ loss incurred by Samsung (T.Bradshaw (2012))
- While in Europe it has lost the trials (Apple (2012))

It is doubtful that trials had any benefit for consumers, as such battles resulted in companies' focusing on lawsuits but not development of products. Moreover, this had a negative impact on **Price** as lawsuits are expensive and time consuming. This leads to constantly decreasing profit margins for Apple: "gross margins have skidded the last two quarters, from 47 percent to 40 percent, and the fiscal Q1 projection (that's the current quarter) is 36 percent." (B.Hill (2012)). This means that it also reduces confidence for investors. **Promotion** aspect of the marketing mix is also greatly influenced. First, awareness is raised because of constant discussions about patent wars, meaning that Apple's name appears in the press very often. On the other hand, this has a huge impact on brand image. Separation between different views on Apple has increased. This is reflected by the fact that the Samsung Galaxy phone is now perceived as anti-iPhone. This means that Apple is losing people who might have considered buying an iPhone. Results of Apple and Samsung "patent wars" is best reflected in tablet market share data:

Vendor	3Q12 Shipments	3Q12 Market Share	3Q11 Shipments	3Q11 Market Share	3Q12/3Q11 Growth
1. Apple	14.0	50.4%	11.1	59.7%	26.1%
2. Samsung	5.1	18.4%	1.2	6.5%	325.0%
3. Amazon.com	2.5	9.0%	NA	NA	NA
4. Asus	2.4	8.6%	0.7	3.8%	242.9%
5. Lenovo	0.4	1.4%	0.2	1.1%	100.0%
Others	3.3	12.2%	5.4	28.9%	-38.9%
All Vendors	27.8	100%	18.6	100%	49.5%

Table 2 (source: <http://mashable.com/2012/11/05/apples-tablet-market-share-drops-to-50-4-percent-report/>)

Another interesting outcome of trials between Apple and Samsung was a UK judge's ruling to write a statement on www.apple.co.uk site that they have actually lost the case. However, again Apple tried to play dirty and have added extra quotes from the judge telling that "Samsung tables are not cool" (FT (2012)). This again was promptly noticed and the judge ordered that. This has huge implications, it is clear that Apple is provoking conflict. However, again it might play well for Apple as it raises awareness. **Place** factor is not affected much, as it has to do little with channels of distribution. On the other hand, Consumer behaviour is again very hard to assess. This is mainly because brand loyalty is very amongst Apple customers and sometimes even irrational. However, as mentioned before it is clear that the distinction between "Apple lovers" and "Apple haters" has increased. Loyal customers may become more loyal, however, Apple most likely loses potential undecided consumers.

4.2 Apple's response

Apple's response to "patent wars" can be separated into two groups: first, Apple trying to build "good guys" image. They always state that they are just protecting their patents and customers. However, it is quite clear that by such

Apple is just trying to weaken its competitors. Moreover, that does not protect their customers. As Peter Chou, Head of HTC said: "HTC is pleased to have resolved its dispute with Apple, so HTC can focus on innovation instead of litigation." (BBC (2012b)). He has a strong point, as trials stop innovation not only in HTC but Apple as well. More open patents, or even open source makes competition higher, thus driving innovation, which is very important for customers. This has implications on both **Product** and **Price**. It is clear that Apple's business strategy is to devastate its competitors and have as little competition as possible. This also has an effect on the Promotion factor as by this Apple tries to increase its market share. Another part of Apple's response is the introduction of the iPad mini, this means that the company plays an offensive game, by trying to cut into Samsungs market sector of cheaper tablets. However, this had quite a negative effect on Apple's sales of iPads. As can be seen from Table 2 iPad share-price is decreasing rapidly. Many experts believe that Apple will actually suffer cannibalization on the full-sized iPad (G.Keizer (2012)). Also, as iPad mini is sold closer to manufacturing price it cuts into profit margins. Moreover, patent wars have hit Apple back. Recently, patent holding company VirnetX won case against Apple and court ordered to pay \$368 million (Reuters (2012)), all this had huge impact on Apple share price:

Apple Price

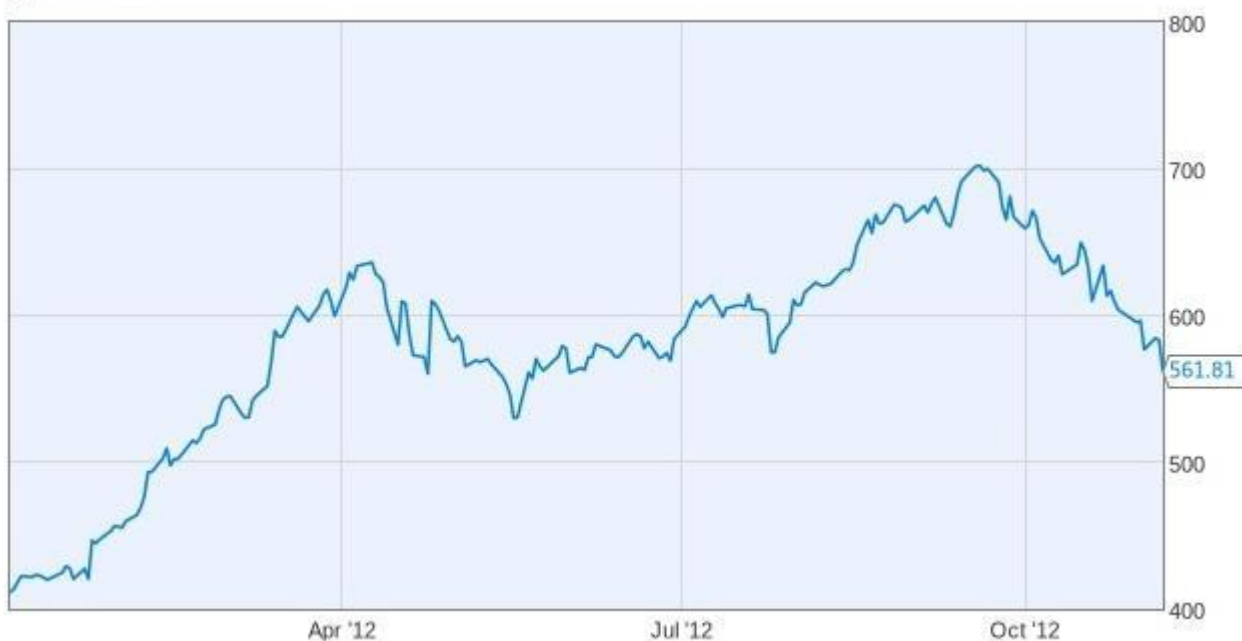


Figure 2 (source <http://mashable.com/2012/11/07/why-apple-stock-is-tanking/>)

It is interesting to see the impact on consumer behaviour, as iPad mini has resulted in a lot of customers becoming disappointed, especially because it is less powerful than the newest full-size iPad. This has a reasonable effect on perceived quality by consumers, as now some of them started to think whether such high prices for Apple tablets are reasonable.

5. Conclusion

From all of the above it is clear that Apple sometimes deals with scandals quite successfully as in the Foxconn case and sometimes not, as in still ongoing "patent wars". However, it is clear that after such incidents Apple must alter its marketing mix and in most cases it has effect on all 4Ps. On the other hand, because of strong brand loyalty of Apple customers it is hard to assess the effect on consumer behaviour, especially in the Foxconn case. Moreover, there might be a couple incidents happening at the same time, as "patent wars" and tax avoidance issues (S.Gustin (2012)) at the moment, thus it is really hard to know which incident had more effect on sales or stock price decrease. However, recent incidents show that Apple will have to carefully consider its further marketing mix and ways to increase its market share in the whole product range.

6. Recommendations

The Foxconn scandal had the most impact on **Product**, **Price** and **Place**. Thus making recommendations it is important to discuss implications on these 3 factors. First, as the Foxconn factory in China started intensive robotization of its factories, Apple should consider moving some of these factories to the US. This would lead to a smoother supply chain and reduced shipping times as products would be made locally. However, there are a lot of aspects of this to consider, such as capital investment and effect on profit margins, in the long-term this would benefit Apple. As production costs initially might increase it is important to consider marketing strategy.

Second recommendation would be to stop “patent wars” as they clearly slow down innovation, although it might give competitive advantage to Apple Inc. in the end consumer losses. Moreover, Apple has always been famous as an innovative company and this is important for brand image. Thus company should focus on maintaining and creating even stronger brand loyalty.

Third, Apple had made a mistake by introducing the iPad mini and trying to go into a different market sector, of cheaper tablets. It is clear that with such high profit margins Apple will not be able to compete with other companies such as HTC or Samsung. This applies to all Apple’s products and it would be recommended to keep making expensive products, as they are perceived as prestigious product. Having this in mind the company could maintain its high profit margins and not lose loyal consumers.

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